



WORKSHEET Terms of Payment

TASKS Business Administration I

A) Match the following terms and definitions correctly.

Terms:

- cash in advance (*Vorauszahlung*)
- credit sale (*Zielverkauf*)
- down payment (*Anzahlung*)
- prompt payment on receipt of invoice (*zahlbar bei Erhalt der Rechnung*)

Definitions:

1. The term refers to a certain percentage of the purchase price of the goods paid in advance: _____
2. It is also known as an “advance payment” or a “prepayment” and may be defined as a payment received for goods and services prior to delivery or performance (*Lieferung oder Leistung*): _____
3. Means that the buyer has to pay for the goods or services as soon as he receives the invoice: _____
4. The customer pays within a defined period of time: _____

B) For which terms of payment do the following sentences apply? (Multiple answers are possible.)

1. It prevents the seller's risk of complete shortfall of payment (*Zahlungsausfall*): _____
2. It minimizes the seller's administration efforts (e.g. sending reminders): _____
3. It is a short-term credit (*kurzfristiger Kredit*) for the buyer: _____
4. It may secure the buyer's acceptance of delivery: _____
5. It is a credit granted to the seller: _____

C. Credit sale, supplier's credit (*Lieferantenkredit*)

Your assignment

You get an invoice which says: “payable within 10 days with 2 % cash discount or within 60 days net”.

Answer the following questions:

1. For how many days is the credit sale? How long is the **credit period**?
2. How much is the **price reduction** and what is it called?
3. The price reduction is given if the invoice is paid within how many days? How long is the **cash discount period**?
4. Calculate the equivalent **annual percentage of the cash discount**.
5. State and explain all **reasons** why the seller offers a cash discount.
6. Let us suppose the customer's **overdraft facility** (*Kontokorrentkredit, Überziehungskredit*) costs 10 % p.a. .
Which term of payment would the customer prefer in this case? Explain your answer.